

Prague Office Market

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Quarterly Statistics

Total Stock

3.96
million sq m

Q1 2024: 3.91 mil. sq m
YoY change: +1%

Gross Take-Up

87,700 sq
m

Q1 2024: 101,400 sq m
YoY change: -14%

Net Take-Up

47,900
sq m

Q1 2024: 45,700 sq m
YoY change: +5%

Vacancy Rate

7.0
%

Q1 2024: 7.4%
YoY change: -38 bps

Completions

8,700
sq m

Q1 2024: 21,700 sq m
YoY change: -60%

Economic Indicators¹

GDP Growth

+1.8%
(in Q4 2024, YoY)

2024: +1.0%
2025 Forecast: +2.0%

Inflation

+2.7%
(in March 2025, YoY)

2024: +2.4%
2025 Forecast: +2.4%

Policy Rates

2.6%
3M EURIBOR²

2024: 3.6%
2025 Forecast: 2.2%

Unemployment

2.7%
(in Feb 2025)

2024: 2.6%
2025 Forecast: 2.6%

Gross Monthly Salary

€1,653
(national median)³

Q4 2023: €1,618
YoY change: +2.2%*

¹) Based on the data available on 16/4/2025 (Source: Czech Statistical Office, Czech National Bank, Ministry of Finance, European Central Bank); *) The YoY change is also influenced by fluctuations in the exchange rate.

²) Q1 2025 average

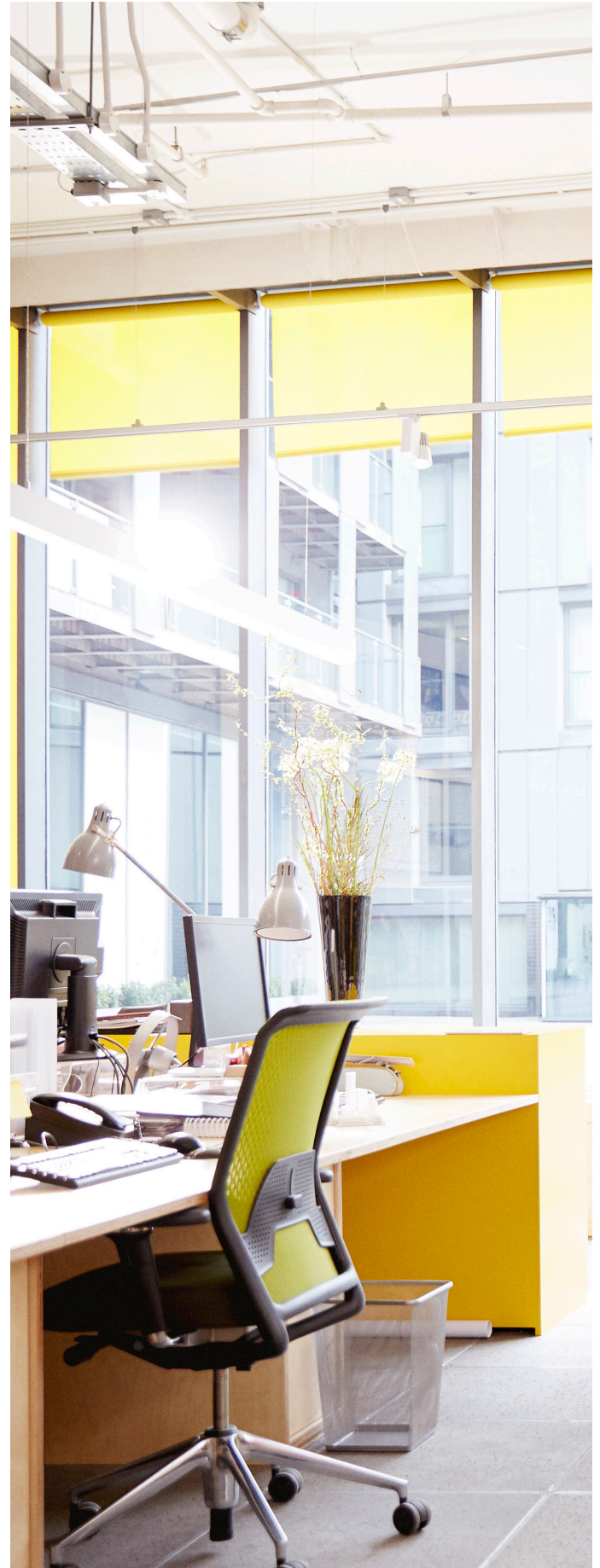
³) in Q4 2024

Office market highlights

- At the end of Q1 2025, the total stock of modern office space in Prague stood at nearly 3.96 million sq m. New construction remains limited, with only one project, E Factory in Prague 9, completed during the quarter. Currently, 173,100 sq m of office space is under construction, with the majority (70%) located in Prague 5.
- The vacancy rate decreased to 7.0% (278,200 sq m), with Prague 4 and Prague 5 continuing to offer the highest volumes of available space.
- Net take-up increased by 5% y-o-y, reaching 47,900 sq m in Q1. The most active districts were Prague 5, Prague 7, and Prague 4, with the technology & IT sector leading new leasing activity. Positive demand at the beginning of the year is further underscored by net absorption of 20,200 sq m, signalling gradual market stabilization.
- Gross take-up (including renegotiations) fell by 14% y-o-y, totalling 87,700 sq m in the first three months of the year. Renegotiations alone accounted for 40% of overall gross demand.
- Prime headline rents in Prague's city centre continued to rise, with increases also recorded in inner-city areas. In contrast, rents in the outer districts of Prague have so far remained stable.

Quarterly market statistics

Key Market Indicators	Gross Take-up (sq m)	Net Take-up (sq m)	New Completions (sq m)	Vacancy at Quarter End
Current quarter	87,700	47,900	8,700	7.0%
Previous quarter	186,800	94,200	3,300	7.3%
YoY movement	-14%	+5%	-60%	-38 bps



Market Review **Q1 2025**

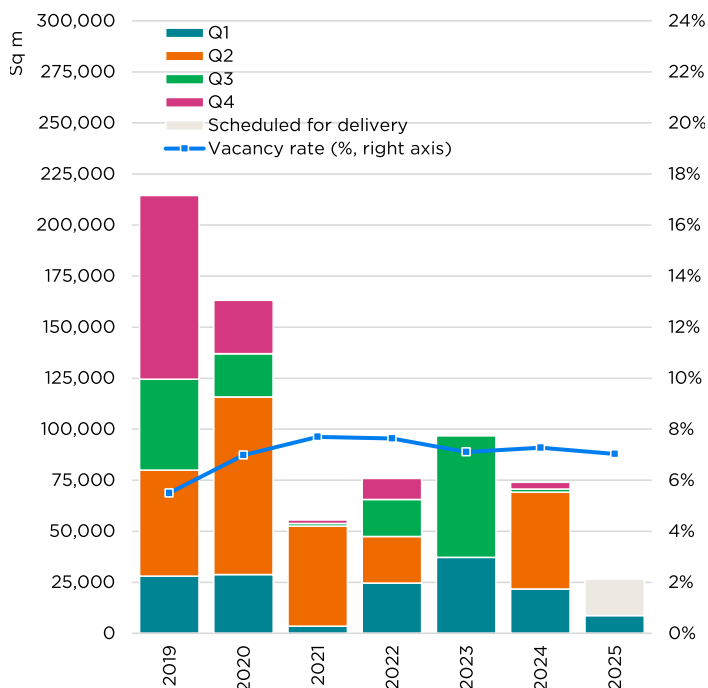
New Supply and Construction Pipeline

- During Q1 2025, only one office project was completed, the first phase of E Factory in Prague 9, adding 8,700 sq m of modern office space. As a result, the total office stock in Prague remained just below 3.96 million sq m.
- In the same period, the refurbishment work began on two projects – Isola in Prague 4 (8,200 sq m) and the Kotva department store, which, once completed, will add another 7,300 sq m of modern office space to the city centre submarket.
- At the end of Q1, 11 office buildings were under construction, with a combined area of 173,100 sq m. The highest concentration of new development is in Prague 5 (70%), followed by Prague 4 (17%) and Prague 1 (8%). The pre-leasing rate reached 52%, reflecting sustained demand for new office space.
- Most of the projects under construction are set for completion in 2027, with around 147,000 sq m set for delivery that year. For the remainder of 2025, only 17,900 sq m is projected to be completed, bringing the total annual new supply to around 26,600 sq m – a 64% y-o-y decline. This limited volume of new development may put upward pressure on rents in the long term, particularly in attractive locations where competition among tenants is expected to intensify.

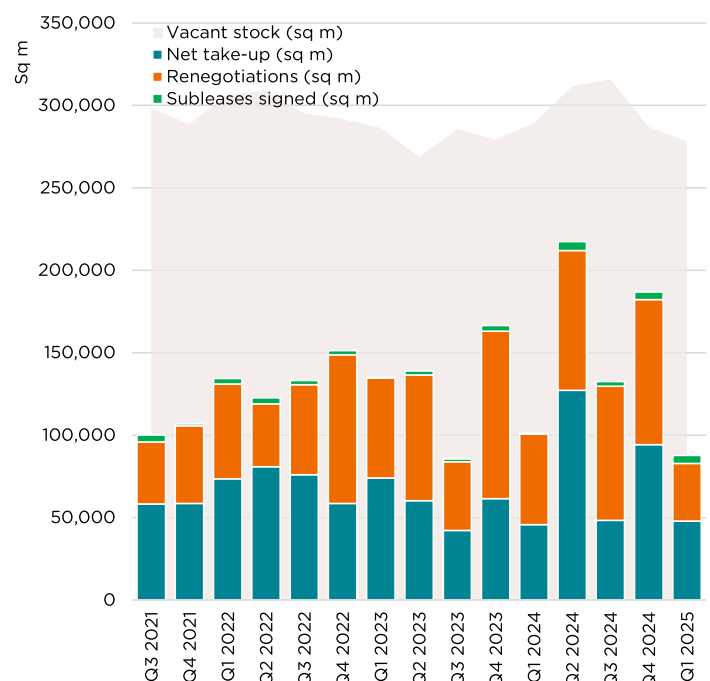
Occupier Demand

- In Q1 2025, total leasing activity, including renegotiations and subleases, reached 87,700 sq m, marking a 14% y-o-y decline and a 53% drop q-o-q. This decrease is largely attributed to the exceptionally large transactions recorded in prior periods, which had significantly inflated results. The current figures therefore reflect a return to more typical market activity.
- The volume of renegotiated (prolonged) leases also declined significantly. In Q1 2025, tenants renewed just 34,900 sq m of office space – the lowest level since Q2 2021. The highest volume of renewals was recorded in buildings located in Prague 4 and Prague 8, with financial institutions being the most active sector.
- Net demand also saw a significant q-o-q decline of 49%, reaching 47,900 sq m in Q1 2025. On a y-o-y basis, this represents a modest 5% increase. However, the drop in both y-o-y and q-o-q new leasing activity was mirrored in a lower number of signed transactions.
- Despite a 14% y-o-y decline in gross demand, historical data shows that demand for office space in Prague tends to fluctuate based on large transactions and broader economic conditions. These fluctuations are typically offset by long-term stability in demand for prime locations.

New Supply



Take-up



Market Review Q1 2025

Vacancy Rate

- During Q1 2025, the office vacancy rate in Prague fell from 7.3% to 7.0% (278,200 sq m), reaching its lowest level in the past seven quarters. Given the limited volume of new deliveries expected this year and the high pre-lease rate, a further decline in Prague's vacancy rate is likely.
- At the end of Q1, the highest volume of available office space was recorded in Prague 4 (63,500 sq m) and Prague 5 (54,600 sq m). These districts consistently show the highest vacancy levels due to a higher concentration of offices and a diverse stock. In contrast, the lowest availability was in Prague 2 (3,200 sq m) and Prague 6 (11,000 sq m). Premium locations, particularly Prague 1, 2, and 8, continue to attract strong tenant interest, resulting in low vacancy rates and high occupancy of quality office space.

Rent Levels

- Prime headline rents in central Prague rose again in Q1 2025, currently reaching €29.00-€30.00 per sq m per month. This growth is driven by sustained demand for premium locations and limited new development, which continues to reduce the availability of high-quality office space. Given these factors, further rent increases in attractive central areas are likely.
- Rents in inner-city Prague also increased, now reaching €19.00-€20.00 per sq m per month, reflecting steady demand for quality space in well-connected areas. In the outer parts of the city, rents remain stable at €15.50-€16.50 per sq m per month. However, for future office developments, rental rates are expected to rise even in locations further from the historic centre.

Glossary of used terms



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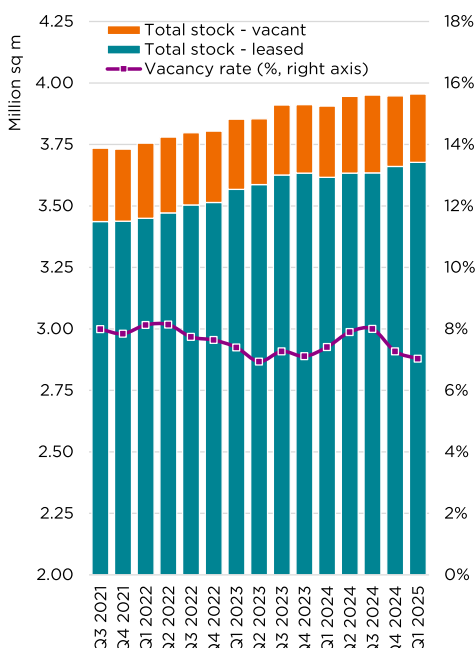
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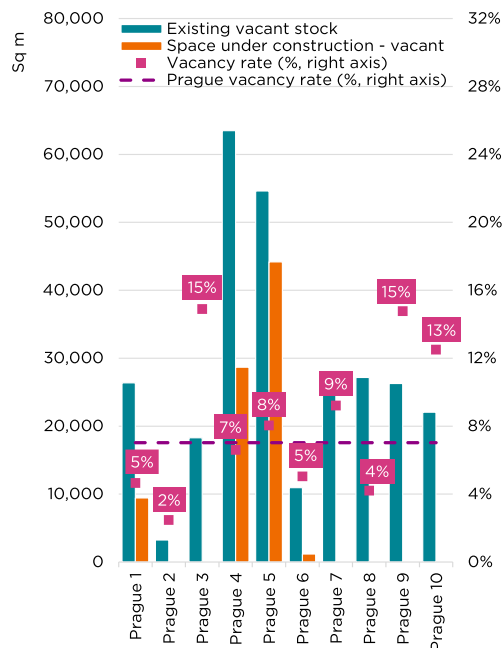
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Existing Stock and Vacancy



Vacancy in Prague Districts



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